

Braemar (LSE: BMS) — a £73M shipbroker whose audited year ended the day the tanker market went vertical

Position disclosed: we are buyers around 220p (roughly 0.4% of our book — sized small on purpose, reasons below). Written 6 August 2026. Nothing here is investment advice; check every number yourself — we cite where each one comes from.

What we believe

Braemar's fiscal year ended 28 February 2026 — the same week the Strait of Hormuz disruption began — so the audited accounts everyone screens contain **none** of the extraordinary tanker market that has existed since. Braemar is the world's #2 listed shipbroker (~£135M revenue, paid in commissions). Since its year-end: the Baltic Dirty Tanker Index is up ~156% year-on-year, a supertanker on the benchmark Middle East–China run earns ~\$423,000/day versus ~\$22,000 a year ago, and the only listed peer (Clarkson, 10x the size) just reported a record half, +56% profit, “materially ahead of market expectations.” Commission accounting lags loading and discharge by weeks-to-months, so the March–June rate spike lands in the half-year now underway. The forward order book already inflected: \$72.5M at year-end → \$77.9M two months later.

What the market believes

Mostly nothing — Braemar has essentially no distributed research coverage; the one published forecast (~£14.2M operating profit) was set on 2 July, almost exactly the local low in tanker rates, before the July re-escalation. The informed skeptic's case — which we built ourselves and take seriously — is: the stock isn't as cheap as screens claim (properly adjusted for leases and regulated cash it's ~7.4x operating profit, ~5% free-cash-flow yield); broker bonuses are uncapped and take the windfall first (staff costs were 74% of revenue last year; shareholders historically keep only ~a fifth of each incremental revenue pound); and management's disclosure record deserves a discount (details in the table below).

Why we might have an edge

Not valuation — information timing plus absence of an audience. The audited base year is structurally unrepresentative of the current business, the only forecast was struck at the bottom tick, and nobody is paid to update either. There is also a dated event that resolves the question quickly: Braemar's half-year trading update, due around 25 September on its established pattern. Uncovered companies can stay mispriced precisely because no one's job is to fix it.

Why it might already be priced in (the honest counter)

Braemar is +6% this year — maybe that IS the market quietly pricing some of the tape. And even if revenue explodes, the uncapped bonus pool means the equity's share of the upside is structurally

limited; a windfall that lands mostly in broker pockets doesn't re-rate the stock. That, plus the disclosure history, is why this is 0.4% of the book and not 2%.

What we checked ourselves (not just read)

Claim	How we checked	What we found	Verdict
"It's a 6x cashflow machine" (the screen)	Rebuilt EV from the FY26 annual report: leases, cash locked in regulated entities, share count incl. issuance	~7.4x adjusted operating profit; free cash ~5% not 12%; specific items were £5.5M not £3.95M	Refuted — cheaper story than reality
Fiscal year missed the rate regime	Braemar FYE (28-Feb-26) vs primary shipping sources on the Hormuz timeline; Baltic indices	Year-end sits ON the disruption start; BDTI 2,575 (+156% y/y) since; TD3C ~\$423k/day	Confirmed
Consensus is stale	Date of the "in line" AGM statement (2-Jul RNS) vs the tanker-rate series	Struck at the local trough (TD3C ~WS294 on 1-Jul), before the July re-ramp to ~WS424	Confirmed
Order book inflecting	Company RNS, year-end vs 30-Apr disclosure	\$72.5M → \$77.9M	Confirmed (we give it limited weight — this metric has predicted poorly in the past, which we also checked)
Windfalls go to brokers first	Five years of annual-report comp disclosure; CEO pay in a down year	Comp 73.8% of revenue; no cap on broker bonuses; £1.14M to the departing CEO in a -31% profit year	Confirmed
Management discloses cleanly	All four annual reports FY23–FY26 read in full + the RNS record	FY25 accounts said "no significant non-adjusting events" 14 days before a market announcement about a National Crime Agency account freeze known since January; the (~£1.9M) provision was later paid; the annual report never names the agency	Refuted — and it's why the position is capped
The catalyst is dated	Braemar's own announcement pattern	Half-year trading update lands ~25 September (25-Sep-2025 last year)	Confirmed

What would make us sell

- The September update reads "in line" while Clarkson runs ahead → exit (that's a verdict on the franchise, not the cycle).
- Staff costs above ~74% of revenue in a windfall half (November interims) → sell.
- Any further gap between what the accounts imply and what announcements later reveal → exit the same week, regardless of price.

Rough numbers

Bear ~180p (September disappoints) · Base ~275p (rate capture confirmed; 8x a ~£15M year) · Bull ~340p (upgrade cycle with costs held). Probability-weighted ~259p against 222p — modest, but with a dated gate and hard exits.

Sources: Braemar FY23–FY26 annual reports and RNS record (investigate); AGM statement 2-Jul-2026; Clarkson H1-2026 results; Baltic Exchange indices, first week of August 2026.